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School of Social Sciences and Languages
Department of Commerce

THE ELASTICITY OF MERCHANT SWITCHING COSTS IN THE INDIAN UPI ECOSYSTEM

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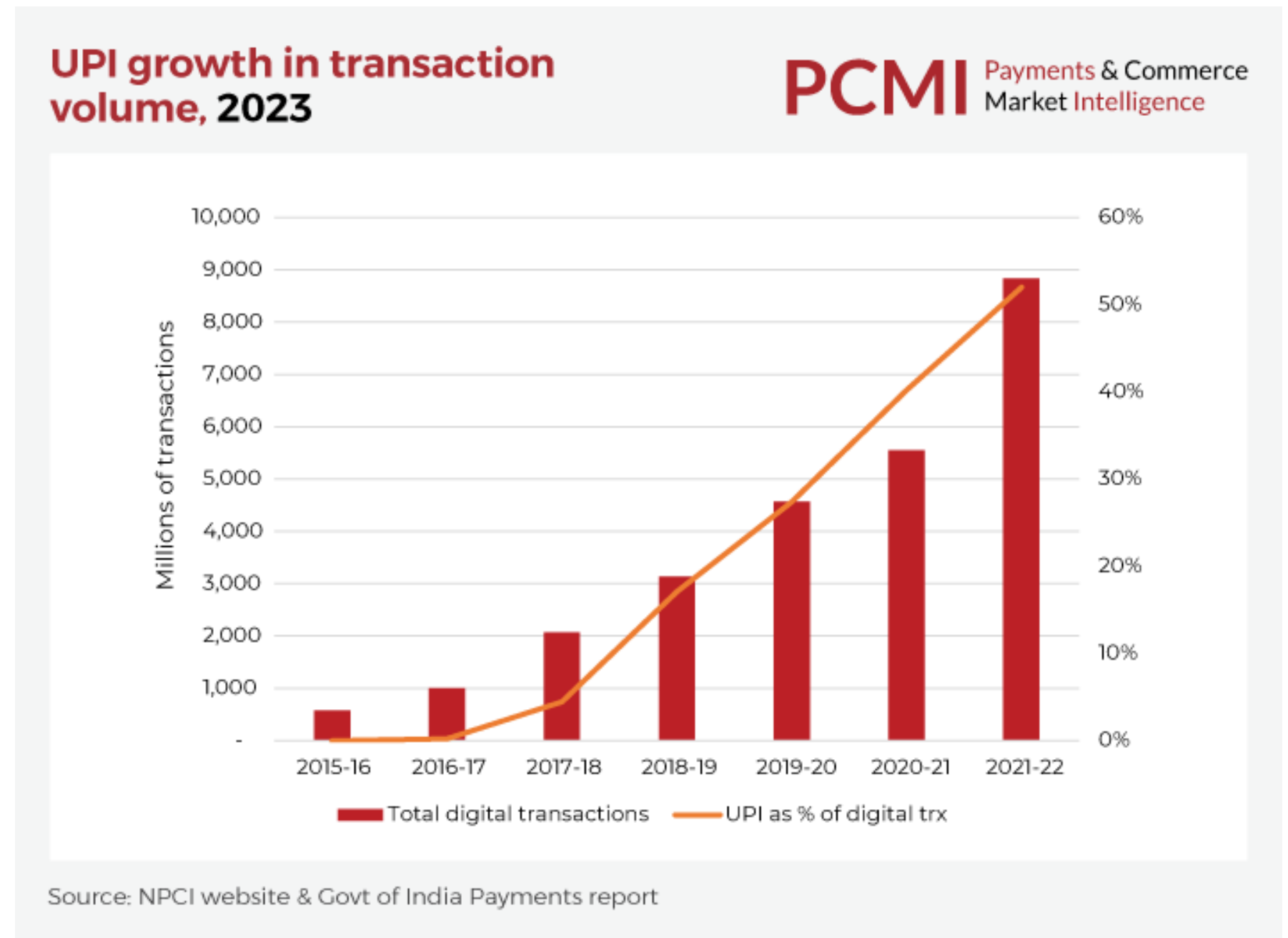
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India's Digital Payment Paradox

- UPI processes over ten billion transactions per month as of 2023-24.
- NPCI's interoperability allows theoretically frictionless payments across any app.
- Yet, PhonePe and Google Pay combined control well over 80% of the merchant market transaction volume.



What keeps merchants locked in?

Switching costs are the real or perceived costs a merchant incurs when moving between platforms.

1. Financial: Lost rewards, pending cashback, or special settlement rates.
2. Learning: Retraining staff on new dashboards and reconciliation processes.
3. Relational: Disruption to customer habits and loss of personalized support.
4. Technological: Hardware lock-in through soundboxes, PoS systems, and analytics tools.
5. Psychological: Anxiety, trust issues, and fear of transaction failures.

Objectives of the Study

- Identify and categorise various types of switching costs faced by merchants.
- Measure the elasticity of merchant switching behaviour in response to changes in costs and incentives.
- Evaluate the effectiveness of specific incentive mechanisms like cashback versus operational support.
- Test hypotheses linking switching costs to merchant loyalty, satisfaction, and demographics.

Research Methodology

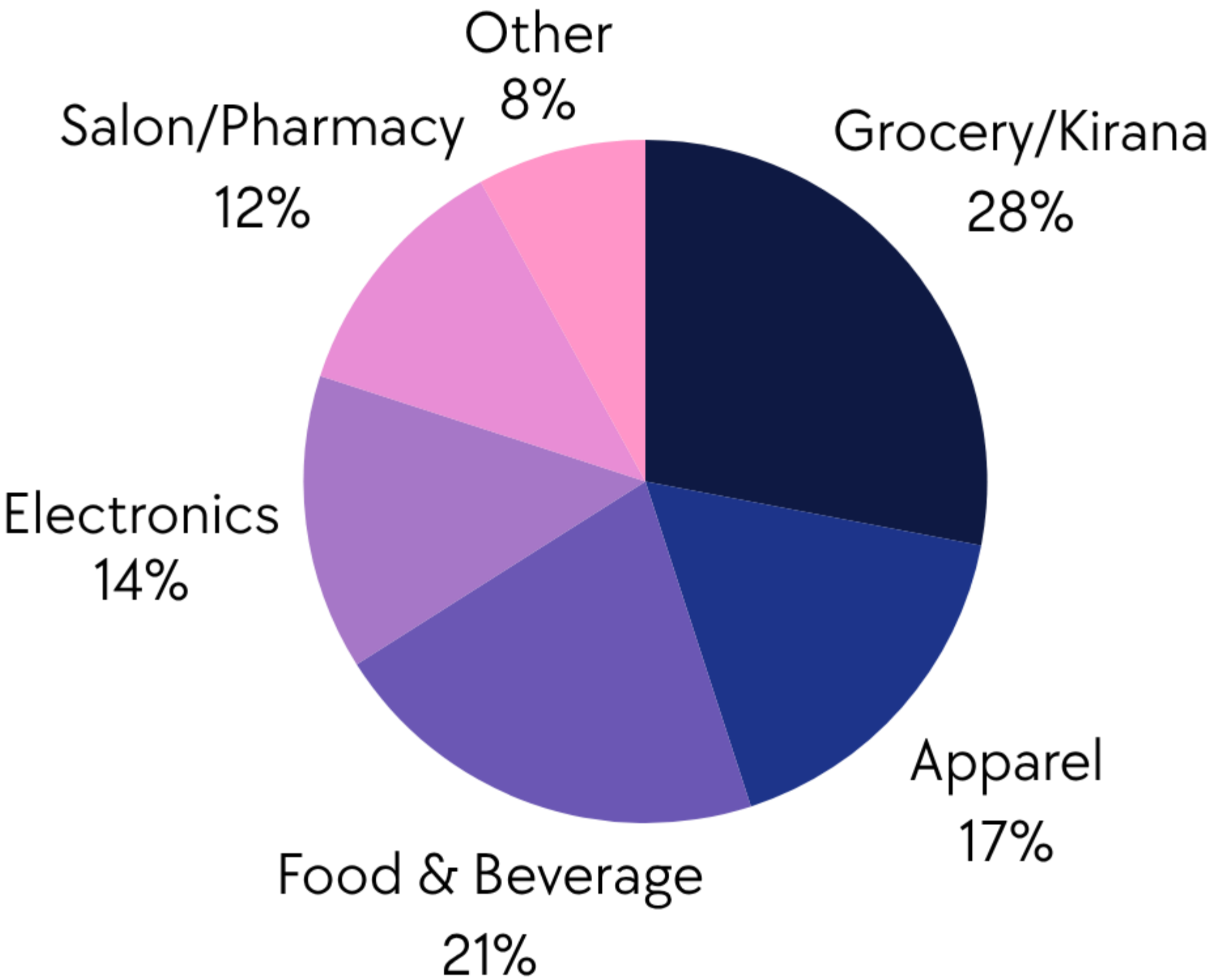
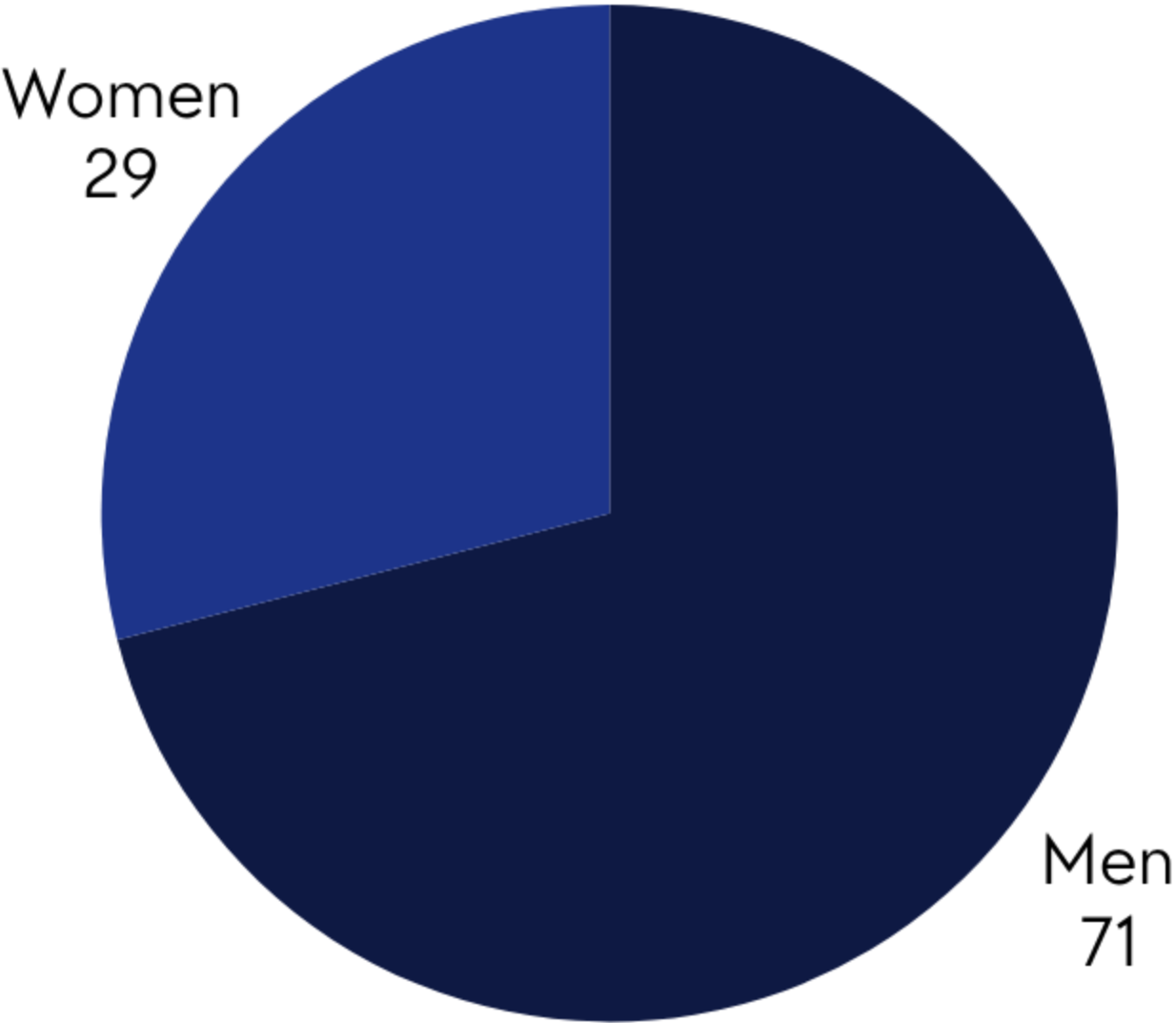
- Design: Mixed research design integrating descriptive and analytical approaches.
- Sample Size: 100 valid urban and semi-urban SME merchant respondents.
- Sampling: Convenience sampling across diverse retail sectors.
- Tools: Structured questionnaire utilizing 5-point Likert scales, analysed using SPSS.



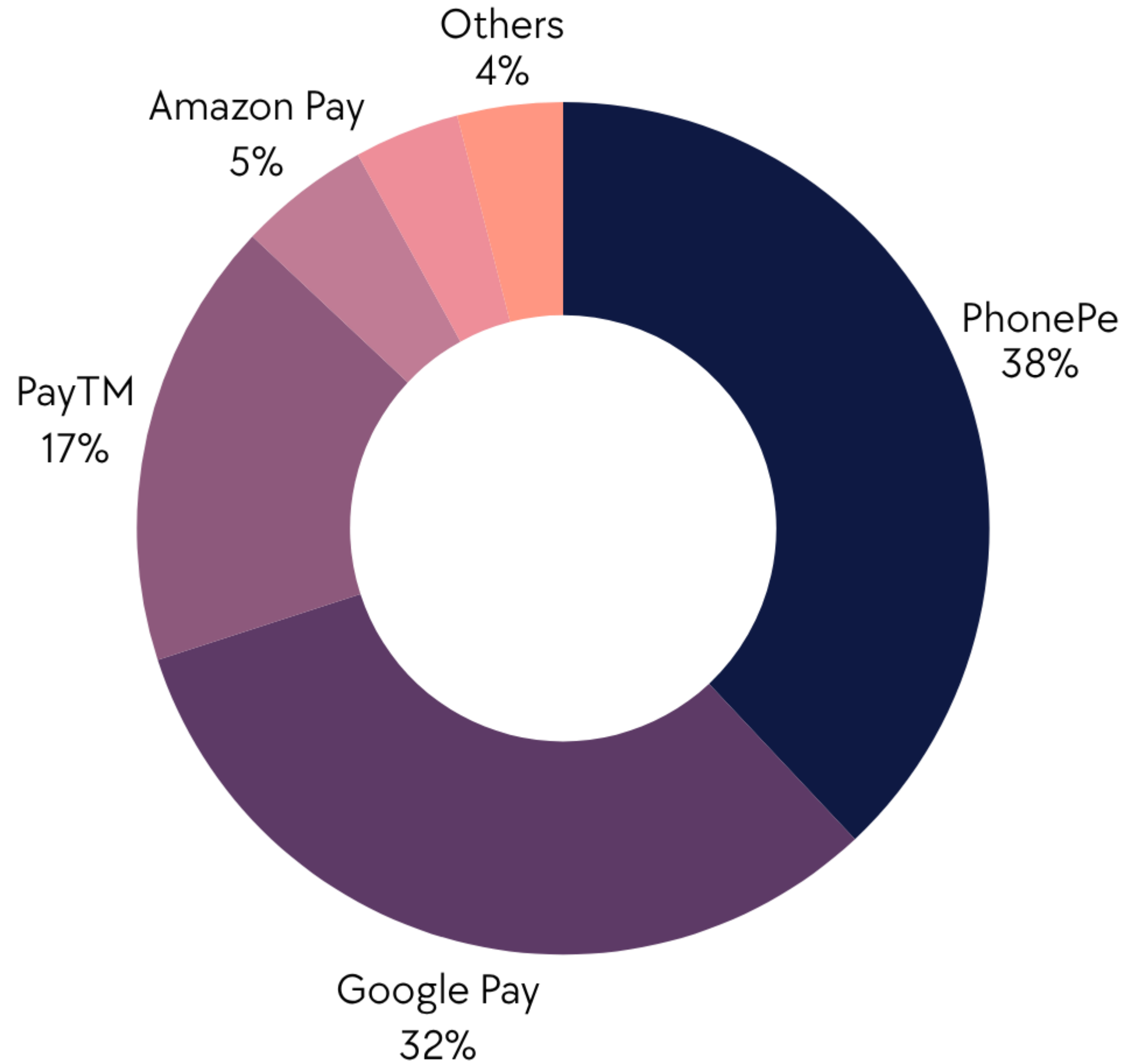
Merchant Demographic Profile

Business Type

Gender of Merchants



Current Platform Dominance



Platform Entrenchment

Why do merchants stay locked in to these

platforms?

Ease of use and familiarity

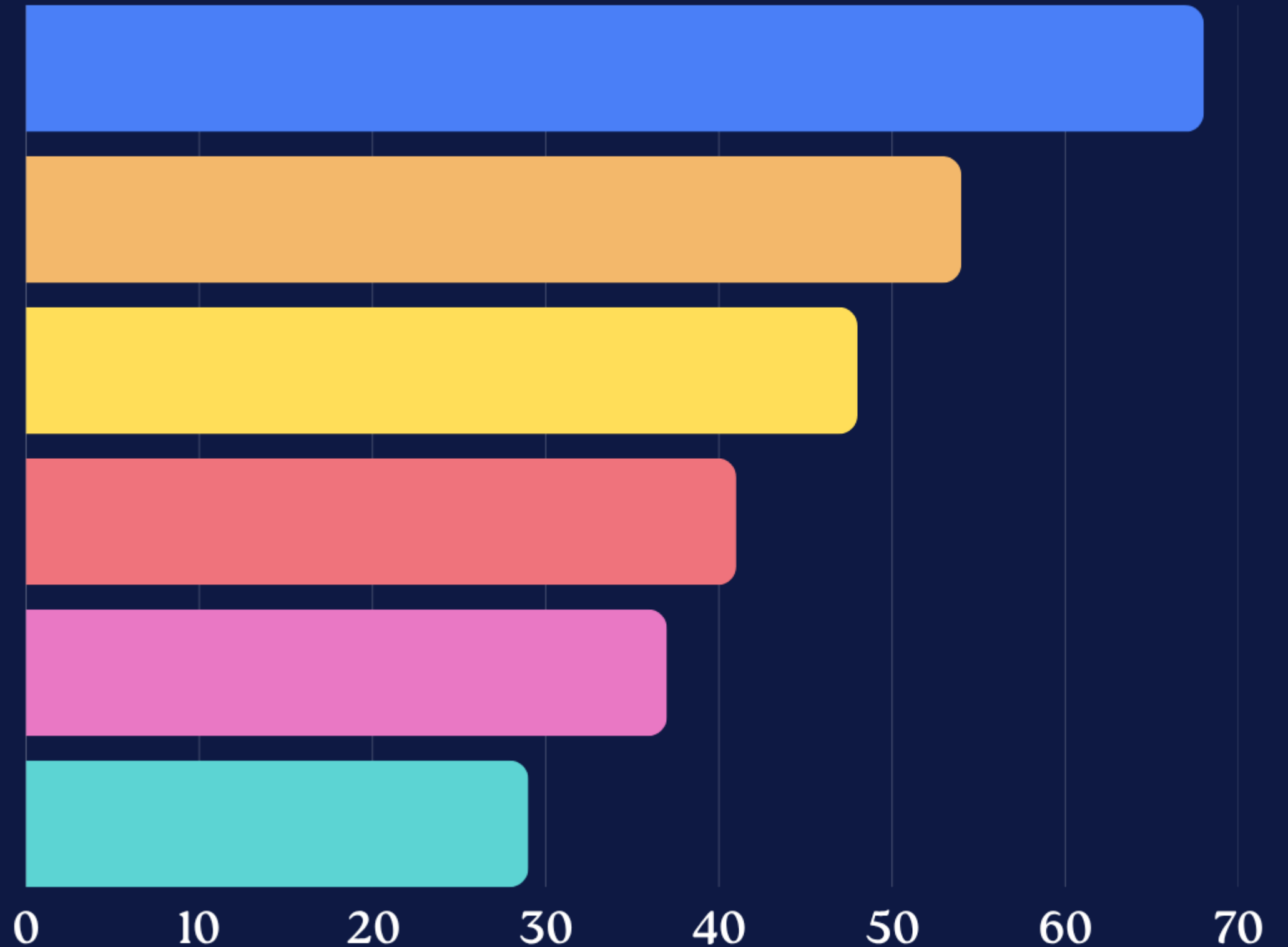
Customer demand

Reliable and timely settlements

Cashback and incentives received earlier

Integrated business tools

Good customer support

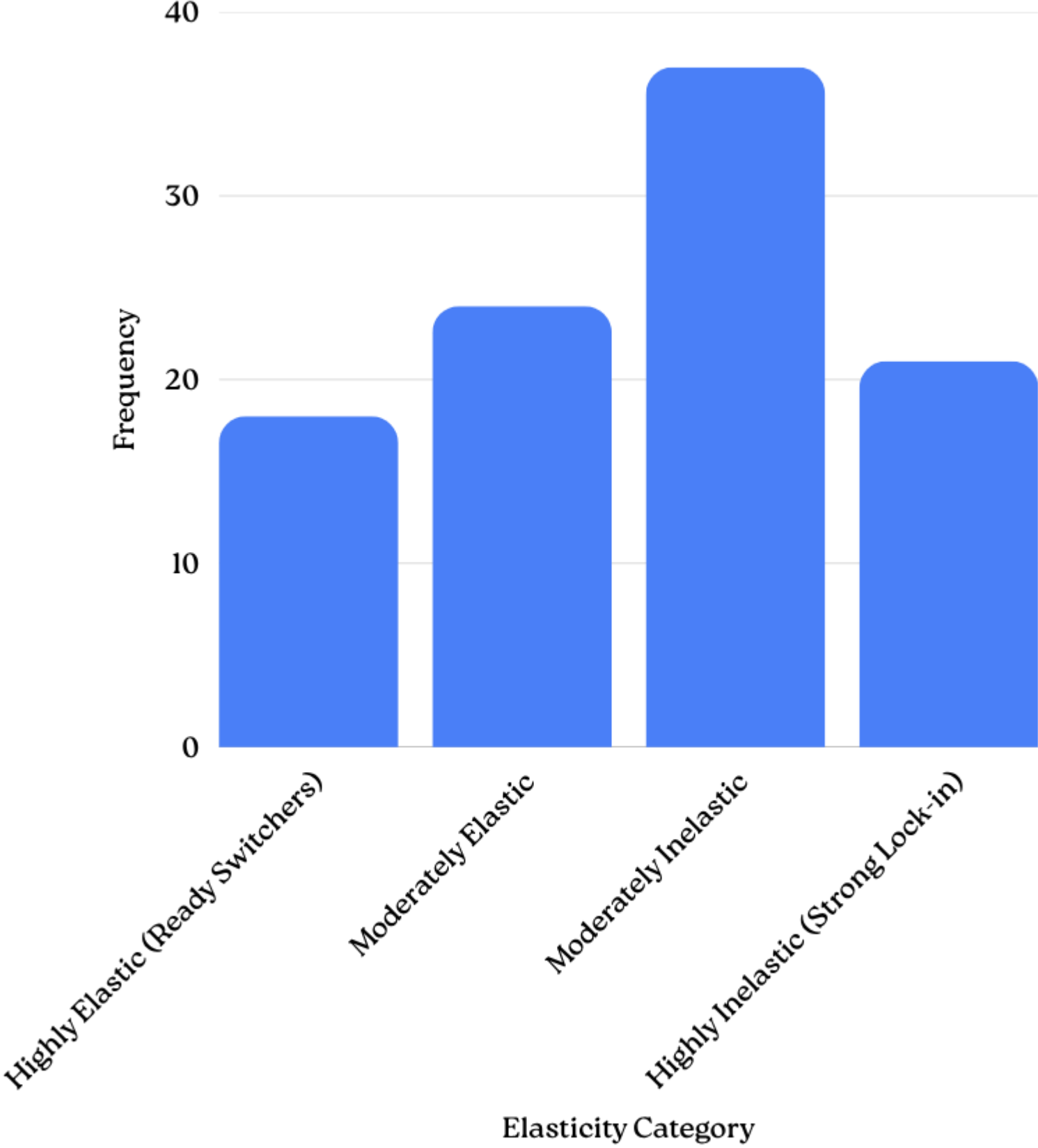


Barriers to Switching Platforms

Switching Cost Factor	Mean	Std. Deviation	Rank
Trust & Security Concerns	4.41	0.63	1
Customer Retention Risk	4.28	0.71	2
Learning Cost / Retraining Effort	3.97	0.84	3
Financial Cost (Lost Rewards, etc.)	3.74	0.91	4
Time Cost of Switching	3.61	0.96	5

Elasticity of Switching Behaviour

Elasticity Category	Criteria	Frequency	Percentage (%)
Highly Elastic (Ready Switchers)	Score ≥ 4.0 on switching likelihood	18	18
Moderately Elastic	Score 3.0-3.99	24	24
Moderately Inelastic	Score 2.0-2.99	37	37
Highly Inelastic (Strong Lock-in)	Score < 2.0	21	21
Total	-	100	100



Trapped Loyalty?

Comparing actual satisfaction vs loyalty practiced

Behavioural Variable	Mean	Std. Dev.	Interpretation
Overall Satisfaction with Current Platform	3.72	0.81	Moderate-High Satisfaction
Willingness to Recommend Platform to Peers	3.58	0.89	Moderate Recommendation Intent
Perceived Stress in Switching Decision	3.88	0.76	Moderate-High Stress
Difficulty of Making Switching Decision	3.91	0.74	High Perceived Difficulty
Overall Platform Loyalty Score	3.84	0.79	Moderate-High Loyalty

What can help break the cycle?

Factors that trigger platform
switching

Incentive Type	Mean	Std. Dev.
Faster & more reliable settlements	4.48	0.61
Better fraud protection / dispute resolution	4.39	0.67
Cashback / financial rewards	3.87	0.88
Dedicated merchant support manager	3.79	0.91
Customer demand for new platform	3.71	0.95
Peer recommendation	3.52	0.98
Better brand image of new platform	3.31	1.04

Statistical Proof: Hypothesis Testing

1. H1: Does higher perceived switching cost lead to higher loyalty?
2. Result: Yes. A highly significant positive linear correlation exists with a Pearson r of 0.674 and $p < 0.001$.
3. Conclusion: Switching costs explain approximately 45.4% of the variance in merchant loyalty scores.

	Overall Switching Cost Index
Overall Switching Cost Index - Pearson r	1
Overall Switching Cost Index - Sig. (2-tailed)	-
Overall Switching Cost Index - N	100

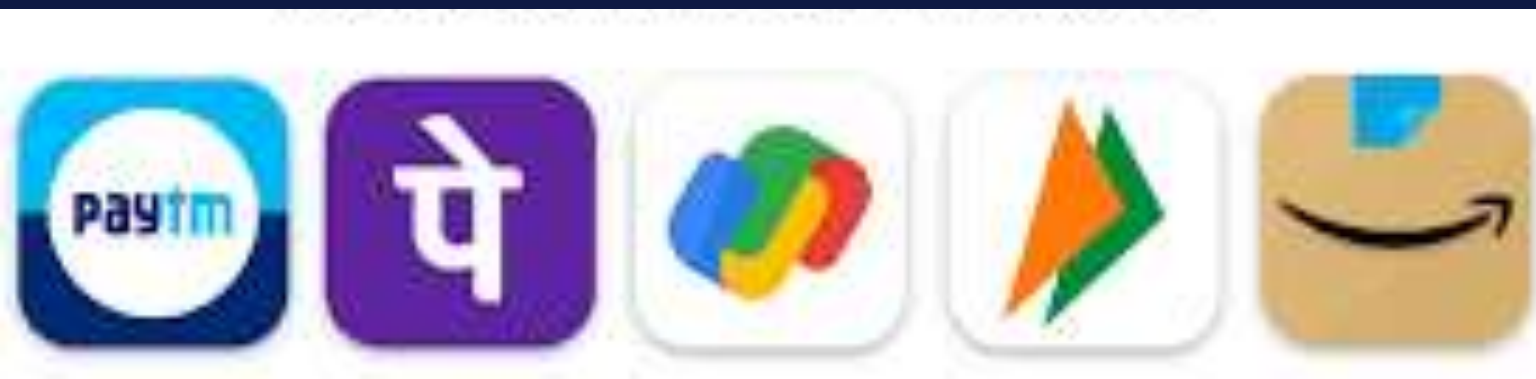
Further Hypothesis Testing

Demographic and Sectoral

1. Gender: No statistically significant difference exists between male and female merchants regarding switching cost perceptions ($p = 0.093$).
2. Business Type: Significant variance exists across different retail sectors (ANOVA $p = 0.006$).
3. Grocery/Kirana (mean 4.21) and F&B merchants (mean 4.18) perceive significantly higher switching costs than Electronics retailers (mean 3.61).

Recommendations for Platforms

1. Shift Investments: Move marketing budgets from cashbacks into operational stability, focusing on settlement reliability and rapid dispute resolution.
2. Human Touch: Dedicated merchant relationship management ranks highly (mean 3.79) and acts as a powerful retention tool.
3. Target the Elastic: Focus acquisition strategies on the 42% elastic market by offering free trials of superior hardware tools to lower initial learning costs.



Recommendations for Policymakers

1. Data Portability: Mandate that merchants can export their historical transaction data to new platforms when switching.
2. Uncouple Credit: Ensure that tying business loans to a specific platform's history does not create an unfair and extreme financial switching barrier.
3. Peer Networks: Merchant associations should build peer-review forums to lower the information uncertainty and psychological fear of switching.



Conclusion

1. Merchant switching costs in India are multi-dimensional, driven heavily by trust, security, and customer networks.
2. The UPI market concentration is largely maintained by an inelastic merchant majority representing 58% of the ecosystem_{Bod}
3. Future competition in digital payments^y will not be won purely on price, but on operational reliability and ecosystem integration.



Thank You!

Questions are Welcome